

**Before the
Federal Maritime Commission**

Docket No. 24-17

Samsung Electronics America, Inc.
v.
**Orient Overseas Container Line, Limited,
and OOCL (Europe) Ltd.**
v.
Samsung Electronics Company, Ltd.

RESPONDENTS' MOTION FOR RECONSIDERATION

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited ("Respondents" or "OOCL"), by and through their undersigned counsel, submit this Motion for Reconsideration ("Motion") with respect to that part of the Presiding Officer's Order of June 11, 2025 ("Order") directing OOCL to file a "Supplemental Brief" explaining why the Third Party Complaint should not be dismissed for failure to state a claim, and which permits Samsung Electronics Company, Ltd. ("Samsung" or "Third Party Respondent") to file a Supplemental Brief in response.

For the reasons discussed below, OOCL moves for reconsideration of the Order and requests that the Presiding Officer¹ issue an amended order which deletes the directive to OOCL that it file a "Supplemental Brief" and that Samsung be permitted to file a responsive Supplemental Brief.

¹ This matter was reassigned by Notice of the Chief Administrative Law Judge of the Federal Maritime Commission, Erin M. Wirth, from Administrative Law Judge Alex M. Chintella to Administrative Law Judge Richard Ambrow issued June 6, 2025.

Pursuant to 46 C.F.R. §502.71, the undersigned has conferred with counsel for SEA and Samsung who advise that they oppose this Motion.

MEMORANDUM IN SUPPORT

I. BACKGROUND

Samsung has entered a Special Appearance in this proceeding, solely for the purpose of contesting service of process, and has filed a Motion to Dismiss the Third Party Complaint on the grounds that service of process on Samsung must be made pursuant to the Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters, 20 U.S.T. 361 (Nov. 15, 1965) (“Hague Convention”). That motion to dismiss, which OOCL has opposed, remains pending. (FMC Dkt. 24-1, ## 32-4; 36)

The Presiding Officer has now issued the Order, which is the subject of this Motion, directing OOCL to file a Supplement Brief explaining why its Third Party Complaint should not be dismissed for failure to state a claim upon which relief may be granted. The Order further directs: “Although Samsung is not properly a party to this matter, it is permitted to file a Supplemental Brief in response to OOCL’s Supplemental Brief no later than **July 10, 2025**. Finally, if Samsung files a Supplemental Brief, OOCL may reply no later than **July 17, 2025**.” (Order at 4).

While the Presiding Officer is certainly authorized to control the management of cases on his/her docket, that authority is circumscribed by case law which defines the procedural steps that a defendant is permitted to take without waiving the defenses of insufficient service of process and lack of *in personam* jurisdiction, under Rule 12 of the Federal Rules of Civil Procedure. Permitting Samsung to file a Supplemental Brief, which substantively addresses whether the Third Party Complaint states a cause of action against it, exceeds the parameters of the Special Appearance entered by Samsung’s

counsel. By directing such a filing, the Order either ignores the fact that any such filing by Samsung will, as a matter of law, waive Samsung's jurisdictional defense or improperly allow Samsung to exceed the boundaries of its Special Appearance by challenging the Third Party Complaint on the merits.

If Samsung elects to file a Supplemental Brief that substantively challenges the Third Party Complaint, even with the blessing of the Presiding Officer, that activity will constitute a waiver of Samsung's Special Appearance and subject it to *in personam* jurisdiction. Furthermore, should the Presiding Officer rule on the merits without a filing by Samsung, he would not only violate the requirement that jurisdiction be determined in advance of the merits but also breach due process by adjudicating the rights of a non-party.

This Motion accordingly requests that the Presiding Officer reconsider the Order, revoke that part which requires OOCL and permits Samsung to substantively brief the merits of the Third Party Complaint and issue an amended order which deletes that directive. Further, pending a ruling on this Motion, OOCL requests that the Presiding Officer adjourn the deadlines for OOCL and Samsung to file supplemental briefs until such time as there has been a ruling on the within Motion for Reconsideration. A separate application seeking this brief extension accompanies this Motion.

II. STANDARD FOR RECONSIDERATION

The FMC's Rules do not specify any standards for reconsideration of interlocutory orders by the Presiding Officer (although they do for reconsideration of final Commission orders). Accordingly, Presiding Officers have substantial authority to flexibly reconsider their decisions prior to issuance of the Initial Decision. As the Commission explained in *Tractors and Farm Equipment, Ltd v. Waterman Steamship Corp.*, 25 F.M.C. 375, 377 n. 9 (FMC 1982): "A presiding officer may properly reconsider and reverse interlocutory rulings made prior to the initial decision, whether those rulings are made by

him or her or by a previously assigned [ALJ]." *See also, Carolina Marine Handling, Inc. v. South Carolina State Ports Authority*, FMC Docket No. 99-16, 2002 FMC LEXIS 13 at *2 (ALJ, 2002) (also available at <https://www2.fmc.gov/readingroom/docs/99-16/5C71A1D2A982400B817848274F888BEE.pdf/>).

III. ARGUMENT

A. The Partial Order Is Inoperative Pending a Ruling On OOCL's Appeal

The then-Presiding Officer, Alex M. Chintella, issued an Order Partially Granting SEA's Motion to Dismiss the Counterclaim on May 24, 2025 ("Partial Order" – FMC Dkt.#16). This Partial Order has been appealed by OOCL to the Federal Maritime Commission. ("Appeal" - 24-17, FMC Dkt. #41).

In formulating the directive to OOCL to file a Supplement Brief, and in permitting Samsung to file a response, the Order appears to rely upon the Partial Order as a rationale for this further briefing:

Judge Chintella dismissed OOCL's Counterclaim for failure to state a claim upon which relief may be granted. Assuming that Samsung (whose related company initiated this action) will be properly served eventually after additional time, expense, and delay is incurred by parties, as well as the Office of the Secretary, Samsung will likely raise the issue of whether the Third Party Complaint fails to state a claim upon which relief may be granted. Therefore, it appears that it would be more efficient and less expensive for all parties (as well as the Office of the Secretary) to address whether the Third Party Complaint fails to state a claim upon which relief may be granted, rather than address the service issue (which will likely result in Samsung being served properly, and, which, in turn, would likely be followed by a motion to dismiss by Samsung for failure to state a claim upon which relief may be granted). If it is determined that the Third Party Complaint alleges a claim upon which relief may be granted, the service issue can be resolved at that time. (Partial Order at 4 – emphasis supplied).

However, the Partial Order which granted dismissal of OOCL's Counterclaim cannot be relied upon as precedent or authority by the Presiding Officer with respect to OOCL's Third Party Complaint against Samsung because the determination as to whether OOCL's Counterclaim has stated a cause of action against SEA and/or whether OOCL should be allowed to amend its Counterclaim will be controlled by the FMC's ruling on OOCL's Appeal.

This principle is governed by the FMC's Rules of Practice and Procedure, specifically 46 C.F.R. § 502.227(3), which provides that a decision "shall become the decision of the Commission thirty (3) days after date of service therefore...unless within such 30-day period...request for review is made in exceptions filed or a determination to review is made by the Commission on its own initiative." (emphasis supplied). Here, OOCL has timely filed Exceptions with the FMC, so the Partial Order which has been appealed has not become a decision of the Commission.

Further, pursuant to 46 C.F.R. § 502.227(3), "Upon the filing of exceptions to, or review of, an initial decision, such decision shall become inoperative until the Commission determines the matter."

The Partial Order is not a "decision of the Commission" and, pursuant to the FMC Rules, is not operative. The Presiding Officer should accordingly give it no weight with respect to a motion to dismiss the Third Party Complaint for failure to state a cause of action by Samsung which, to date, has not been filed.

The foregoing also illustrates why the Presiding Officer's proposed course of action is utterly impractical. Should the Presiding Officer rule against Respondents, they will appeal any dismissal of their Third Party Complaint to the full Commission, so the Presiding Officer's ruling will be rendered inoperative until the FMC rules on the Exceptions. And if the Presiding Officer rules against Samsung, it will be aggrieved and be entitled either to ignore the ruling or go directly to the Commission or to federal court on the basis of due process. It makes much more sense to hold the issue until the Commission rules on the exceptions currently pending with respect to the dismissal of the counterclaim.

B. Samsung's Special Appearance Precludes Filing of the "Supplemental Brief"

The filing of supplemental briefs, as directed in the Order, might be appropriate if Samsung gave notice of an intent to abandon the affirmative defense of insufficient service that it has raised in its motion to dismiss. However, Samsung has given no such indication that it will do so. Accordingly, we discuss below why Samsung's filing of a Supplemental Brief on the substantive issue as to whether the Third Party Complaint states a cause of action against it will constitute a waiver of its special appearance and result in its submission to *in personam* jurisdiction before the FMC.

At the outset, we must emphasize an issue that was highlighted on this issue by one court:

"There is a dearth of caselaw both in this Circuit, and in our sister circuits, defining precisely what types of appearances and filings qualify as "a [defendant's] legal submission to the jurisdiction of the court," *Days Inns*, 445 F.3d at 905, and give a "plaintiff a reasonable expectation that it will defend the suit on the merits." *Mobile Anesthesiologists*, 623 F.3d at 443. Thus, we take this opportunity to discuss some of the contours of this area of the law." *Gerber v. Riordan*, 649 F.3d 514 (6th Cir. 2011).²

Despite the "dearth of caselaw" noted in *Gerber*, the precise issue which is the subject of this Motion was dealt with in *Boulger v. Woods*, 917 F.3d 471 (6th Cir. 2019), which described two forms of waiver: (1) waiver through failure to include defenses in a Rule 12 motion or in an answer; and (2) waiver through litigation conduct. *Boulger* involved a detailed discussion of, and clarified what constituted, the latter form of waiver. *Id.* at 476-77.

² *Gerber* created confusion in subsequent rulings and was frequently cited for the proposition that the mere filing of a notice of appearance was sufficient to confer *in personam* jurisdiction over a defendant. That issue was subsequently clarified in *Blessing v. Chandrasekhar*, 988 F.3d 889 (6th Cir. 2021) which held that the filing by defendants' counsel of a notice of appearance and pro hac vice motion, followed by a motion to dismiss for lack of personal jurisdiction, did not constitute a waiver of the defendants' personal jurisdiction defense: "... Gerber's conclusion that a notice of appearance waived personal jurisdiction must be read in the context of the defendants' extensive participation in the litigation. Otherwise, Gerber's outcome is inconsistent with its own reasoning, which endorsed a fact-specific inquiry into the defendants' conduct." *Id.* at 897. Claims against both defendants in *Blessing* were dismissed for lack of personal jurisdiction.

In *Boulger*, the defendant filed an answer to the complaint asserting, in addition to other defenses, insufficient service of process and lack of personal jurisdiction due to the lack of service. On the same day, defendant also filed a motion for judgment on the pleadings, arguing that plaintiff's complaint failed to state a cause of action as a matter of law. Prior to a ruling on the latter application, defendant filed a second motion seeking dismissal on the grounds that plaintiff failed to effect service of process. The district court found that, by filing the motion which raised the failure to state a cause of action, defendant waived his jurisdictional defense through that conduct and denied the latter motion. On appeal, the Sixth Circuit affirmed, holding:

"Even where a defendant properly preserves a Rule 12(b) defense by including it in an answer"—as Woods did here—"he may forfeit the right to seek a ruling on the defense at a later juncture through his conduct during the litigation." *King*, 694 F.3d at 658 (footnote omitted) (citing *Hamilton v. Atlas Turner, Inc.*, 197 F.3d 58, 60 (2d Cir. 1999)). Put simply, a defendant's appearances, filings, and actions in the district court may constitute "legal submission to the jurisdiction of [that] court." *Gerber v. Riordan*, 649 F.3d 514, 519 (6th Cir. 2011) (quoting *Days Inns Worldwide, Inc. v. Patel*, 445 F.3d 899, 905 (6th Cir. 2006)). *Boulger*, 917 F.3d 471 at 477.

The Court went on to hold that the defendant's submission of an application asserting that plaintiff's complaint failed to state a cause of action, which is the identical activity that is being directed in the Order that is the subject of this Motion, constituted a waiver of the insufficient service defense and submission by the defendant to the *in personam* jurisdiction of the court:

Turning to Woods's conduct, one filing "stands out as showing the obvious intent of the defendant[] to submit to the personal jurisdiction of the Court." *Gerber*, 649 F.3d at 525 (Moore, J., concurring). As the district court noted, although Woods raised the defenses of insufficient service of process and lack of personal jurisdiction in his answer, he immediately filed a motion for judgment on the pleadings in which the defenses were not included. The motion for judgment on the pleadings was filed several months early—because Woods had not yet been served—and necessarily sought a decision on the merits. Woods's motion was thus "inconsistent with the idea that the district court lacked personal jurisdiction over the defendant[]." *Id.* Indeed, Woods's actions demonstrate that he sought to have the district court use its power over the parties to reach a decision on the merits, and required the court to expend significant efforts in doing so. *See Parchman v. SLM Corp.*, 896 F.3d 728, 734 ("[T]he voluntary use of certain district court procedures serve[s]

as constructive consent to the personal jurisdiction of the district court" (alterations in original) (quoting *Gerber*, 649 F.3d at 519)). *Id.* at 477-8.

The Court went on to note that filing the motion for judgment on the pleadings created a reasonable expectation that defendant would defend the suit on the merits so, "(a)ny other holding would create a perverse outcome. One can imagine a litigant asking the court to proceed on the merits, and then, only if the court's decision is unfavorable, seeking to re-assert jurisdictional defenses." *Id.* at 478. The Court of Appeals accordingly went on to affirm the district court's holding that the defendant's conduct constituted a waiver of the defense of insufficient process.

The *Boulger* case clarified the parameters of a special appearance, and the limited activity that a defendant's counsel is permitted to engage in before risking a waiver of the defense of improper service of process. And that holding is particularly instructive here, where Samsung has raised the Hague Convention as a grounds for dismissal and, to date, has assiduously avoided stepping over the boundary of the limited appearance it has entered. The most recent example of this alacrity was counsel's guarded acknowledgement of receipt of the Order that is the subject of this Motion, which stated the Order was received "(s)ubject to the statement in the opinion that my client is not 'properly a party to this matter...'"³

Samsung should not now be given *carte blanche* to exceed the scope of its Special Appearance and raise a substantive defense to the Third Party Complaint. The Order should be amended accordingly.

³ Email dated June 11, 2025, from Samsung's counsel to Judges@FMC.gov, acknowledging receipt of the Order (as requested by the sender).

C. Decision on the Merits Would Contravene Administrative Requirements and Due Process

It is well-established that, with very few, limited exceptions, a tribunal must determine its jurisdiction before addressing the merits. As Judge Crovella has recently explained:

“It is elementary law that a tribunal should determine its jurisdiction *before* proceeding to the merits of a controversy.” *NPR, Inc. v. Board of Comm'rs of the Port of New Orleans*, Docket No. 98-23, 28 S.R.R. 1178 (ALJ Nov. 23, 1999); *see also River Parishes Co. v. Ormet Primary Aluminum Corp.*, Docket No. 96-06, 28 S.R.R. 751, 762 (FMC Feb. 3, 1999) (“As the ALJ correctly held, *an agency must reach jurisdictional issues before* addressing the merits of a case.” (citations omitted)). *International Longshoremen's Association v. Gateway Terminals*, Dkt. No. 22-12; 2023 WL 2484298 at *1 (ALJ Order on Motion to Bifurcate Proceeding, March 9, 2023) (emphases added).

The Presiding Officer has himself identified this same requirement:

“[T]he Commission must address the issue of its jurisdiction. “It is elementary law that a tribunal should determine its jurisdiction before proceeding to the merits of a controversy.” *Intermodal Motor Carriers Conf. v. Ocean Carrier Equipment Management Ass'n, Inc.*, 6 F.M.C.2d 45, 63 (ALJ 2023) (quoting *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1178 (ALJ 1999); *see also River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999) (“As the ALJ correctly held, an agency must reach the jurisdictional issues before addressing the merits of the case”))” *Webtrans Logistics, Inc.. v. Hapag-Lloyd (America) LLC.*, Dkt. No. 2013(F); 2024 WL 4491612 at *2 (Initial Decision Granting Dismissal, October 8, 2024).

Although it is not our prerogative to defend Samsung’s rights, a ruling regarding the merits, without even the benefit of a motion, would be contrary to due process and create a messy diversion in this litigation. Like the administrative principle discussed above, it is elementary law that the FMC may not bind non-parties (except perhaps in class actions). As recently explained in *Jeudy v. Houston Community College*, 2024 WL 5036557 at *6 (S.D. Tex., 2024):

“a court generally cannot bind non-parties to an injunction or judgment. *See Texas v. Dep't of Lab.*, 929 F.3d 205, 210 (5th Cir. 2019) (stating “[i]t is elementary that one is not bound by a judgment in personam resulting from litigation in which he is not designated as a party or to which he has not been made a party by service of process,” quoting *Zenith Radio Corp. v. Hazeltine Research, Inc.*, 395 U.S. 100, 110 (1969))”.

IV. CONCLUSION

The Motion for Reconsideration should be granted, and an amended Order should be issued in which the directive to OOCL to file a Supplemental Brief and permission to Samsung to file a brief in response, is revoked and deleted.

DATED: June 18, 2025

Respectfully submitted,

/s/ Rebecca A. Fenneman

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CERTIFICATE OF SERVICE

I certify that on the 18th day of June 2025, a true and correct copy of the foregoing Motion for Reconsideration was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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